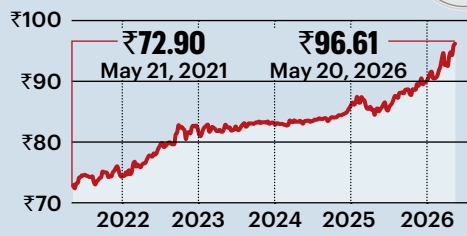
6%
DROP IN THE RUPEE'S VALUE
to 96.61 (May 20) against the dollar since the conflict broke out

8.3%
WHOLESALE INFLATION
in April compared to 3.88% in March

RUPEE FALL

THE LONG SLIDE

The rupee declines steadily against the strengthening dollar

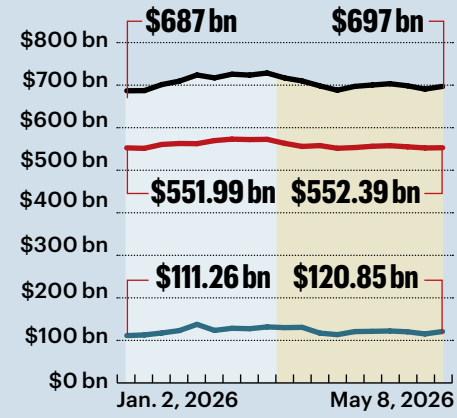


Source: RBI

FOREX RESERVES

RESERVE CUSHION

India's reserve buffers remain steady amid global financial uncertainty



Total reserve
Foreign currency assets
Gold
Source: RBI

CURRENCY MOVEMENT

DOLLAR DIVIDE

The rupee posts among the steepest declines amid the war tensions

Dollar Index	1.6
Euro	-1.4
Brazilian Real	2.8
British pound	-0.8
Chinese Yuan	0.8
Indian Rupee	-5.5
South African Rand	-4.3
Malaysian Ringgit	-1.6
Polish Zloty	-2.1
Russian Rouble	5.1
South Korean Won	-4
Japanese Yen	-1.6

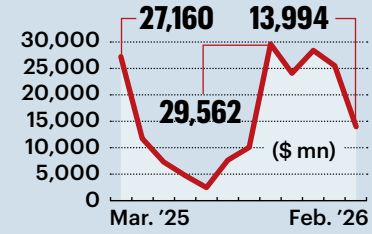
% change from Feb. 27, 2026 till mid-May
Source: Bloomberg, SBI Research

DOLLAR SALES

RBI IN ACTION

The central bank sells dollars to shield the rupee from external shocks

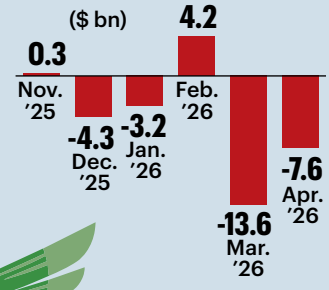
Source: RBI



FPI OUTFLOWS

CAPITAL FLIGHT

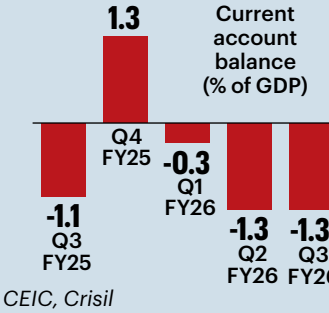
Foreign portfolio investors (FPIs) have been pulling out of India



CURRENT ACCOUNT

DEFICIT BURDEN

India is spending more foreign currency than it earns, relying on reserves



Sources: NSDL, CEIC, Crisil

declined from $728 billion (Rs 69.9 lakh crore) in February to $697 billion (Rs 66.9 lakh crore) in May. Mercifully, India is nowhere near the crisis conditions of 1991 and has enough forex reserves to cover roughly 10 months of imports. However, economists worry over the trend lines moving in the wrong direction. "Exports are growing at a negative rate, and we have this war and shipping disruptions," says Madan Sabnavis, chief economist at the Bank of Baroda. "Remittances are falling because many come from Gulf countries. In FDI, too, companies are repatriating profits rather than reinvesting. The PM's message seems aimed at saving $5-10 billion (Rs 48,000–96,000 crore) through self-restraint alone." Trade expert Biswajit Dhar is even more blunt. "There is plenty to worry about. The external sector is in a bad shape," he says. Experts believe that a combination of these factors will slow economic growth—the RBI predicts a 0.8 per cent hit; other agencies estimate a direr 1 per cent impact, dragging down India's growth to around 6.5 per cent in FY27.

Many have taken serious heed of the PM's call for austerity. Vibha Dhawan, director-general, The Energy and Resources Institute (TERI), New Delhi, has got her solar cooker out, to reduce fuel consumption. The family has also decided